

**BAKER
HUGHES**

Rpt Date 20/Aug/2006				Well Name/No Bilabri D 2				Section Name/No 12.25" pilot section #4				Mud System SYN-TEQ (PARA)							
Job# 1		Spud Date 05/Jul/2006				MD 2134.00 m				Progress 250.00 m				Present Activity Drilling Formation					
Operator Peak Petroleum Indust. Limited				Company Rep James Blackmon/Peter Vermeulen				Contractor Dolphin Drilling Ltd				Contractor Rep Paul Sheppard/Terry Nanidis.							
Field/Lease Bilabri				Blk/Co/Parish OML - 122 / Nigeria				Area Offshore				Country/State Nigeria				Rig BULFORD DOLPHIN			
Drilling Assembly						Casing			Volumes		Pump Information								
Bit Gauge in		Mfr		Bit Model		OD in	ID in	Depth m	bbl	Model		Liner in	Stroke in	Eff %	Vol/Stk bbl	Stk Rate SPM	Circ Rate USgal/min		
12 1/4		HCC		PDC			19 1/2	178.00	Total Hole	Continental Ensco FA-1600		6 1/2	12.00	97.0	0.1194	0			
Drill Collars		Drill Pipe		13 3/8	12.415	1622.00			1109.4	Continental Ensco FA-1600		6 1/2	12.00	97.0	0.1194	87	436		
OD in	ID in	Length m	OD in	ID in	Length m		12 1/4	2134.00	Active Pits	Continental Ensco FA-1600		6 1/2	12.00	97.0	0.1194	84	421		
9 1/2	2.800	18.26	5	4.276	1919.44				415										
8 1/2	2.800	29.09	5	3	166.87				Tot Active										
									1524.4	Circulation Times									
									In Storage	Surface to Bit				5.8 min/986stks				Total System	74.6 min/12764stks
									688	Bottoms Up				48.6 min/8302stks					
Mud Properties						Max Ann Velocity			Hole Information										
Property		1	2	3	4	AV Riser		59.18 ft/min	Standpipe Pressure		3210 psi	Water Depth						152.00 m	
Sample From		Reserve	Active Pit	Flow Line	Active Pit	AV Casing		162.81 ft/min	Hole Flow		858 USgal/min	Riser Booster Rate						USgal/min	
Check Time		03:00	10:00	15:05	22:15	AV Open Hole		351.50 ft/min	Solids Analysis										
MD m		1884.00	1961.00	2037.00	2123.00	Vc Open Hole		454.42 ft/min	Property		1	2	3	4					
TVD m		1867.00	1947.00	2007.00	2066.00	Vc Drill Pipe		374.76 ft/min	LGS %		5.38	7.68	9.12	8.13					
Bit Depth m		1884.00	1961.00	2037.00	2123.00	Min Ann Velocity			LGS lb/bbl		49.03	69.95	83.07	74.10					
Inc deg		23.21	31.55	31.55	50.97	AV Riser		59.18 ft/min	HGS %		6.14	4.42	4.12	4.61					
Density ppg		10.00	10.00	10.10	10.10	AV Casing		162.81 ft/min	HGS lb/bbl		90.45	65.02	60.62	67.84					
Funnel Visc. sec/quart		48.0	68.0	67.0	63.0	AV Open Hole		168.11 ft/min	Avg Dens Sol sg		3.4530	3.1843	3.0979	3.1788					
Flow Line Temp degF			126.0	142.0	149.0	Bit Information													
Test Temp degF		98.0	118.0	142.0	138.0	Size		12 1/4 in											
Rheol Temp degF		120.0	120.0	120.0	120.0	Hours On Bit													
PV cP		20	25	25	28	Bit Number													
YP lbf/100ft^2		14	28	27	30	BHA Number		5	Rheology										
10sec Gel lbf/100ft^2		4	8	10	11	Depth In		m	600 RPM	54	78	77	86						
10min Gel lbf/100ft^2		7	17	18	21	Bit RPM			300 RPM	34	53	52	58						
HTHP Filtrate cc		4.0	3.2	3.2	3.2	WOB		klbf	200 RPM	24	41	41	46						
HTHP Cake in/32		2.0	2.0	2.0	2.0	Nozzles		7x16	100 RPM	15	28	29	32						
HTHP Temp degF		250.0	250.0	250.0	250.0	Bit Hydraulics			6 RPM	5	10	10	11						
HTHP Pressure psi		500	500	500	500	TFA		1.3744 in^2	3 RPM	4	9	9	10						
Retort Water %		17.0	20.0	20.0	20.5	Nozzle Vel		200.2 ft/sec											
Retort Base Fluid %		70.0	66.0	65.0	65.0	Bit Press Loss		362 psi											
Retort Solids %		13.0	14.0	15.0	14.5	HHP / Area		1.56 HP/in^2	Hydraulic Analysis										
Corrected Solids %		11.5	12.1	13.2	12.7	HHP		16.4 %	Behavior Index (n)					0.332					
Oil:Water Ratio		80:20	77:23	76:24	76:24				Consistency Index (k)					6.213 #sec^n/100ft^2					
Alk (Whole Mud-POM) cc/cc		0.50	1.20	1.20	1.20				ECD @ Bit Depth					10.34 ppg					
Cl (Whole Mud-Clom) cc/cc		36000	46000	43000	43000				ECD @ Casing Shoe					10.32 ppg					
Ca (Whole Mud-Caom) cc/cc		0	0	0	0	Fluid Comments/ Recommendations													
Excess Lime lb/bbl		0.6	1.6	1.6	1.6	Added base oil to active mud system and run centrifuge to maintain mud weight and LGS. Treated active mud with premixed CaCl2 solution to maintain % by wt. CaCl2 and OWR. Changed shaker #1 to 3 new 140 mesh screens and shaker #2/# 3 screens to old 140 mesh screen reusable.													
Brine Density sg		1.23	1.24	1.23	1.22														
NaCl % wt		0	0	0	0														
CaCl2 % wt		25	26	25	25														
Elect. Stab.V		441.0	577.0	537.0	526.0														
Sand %			0.30		0.30														
Drilling Comments																			
RIH to bottom and continued to drill 12 1/4" pilot hole.																			

**BAKER
HUGHES**

Rpt Date 20/Aug/2006		Well Name/No Bilabri D 2		Section Name/No 12.25" pilot section #4		Mud System SYN-TEQ (PARA)	
Job# 1	Spud Date 05/Jul/2006	MD 2134.00 m	Progress 250.00 m		Present Activity Drilling Formation		
Operator Peak Petroleum Indust. Limited		Company Rep James Blackmon/Peter Vermeulen		Contractor Dolphin Drilling Ltd		Contractor Rep Paul Sheppard/Terry Nanidis.	
Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria		Area Offshore		Country/State Nigeria	
				Rig BULFORD DOLPHIN			

Name	#	Mfr	Hours hours	Screen Sizes	Act Volume Lost bbl	Res Volume Lost bbl	Comments
CENTRIFUGE	1	SWACO	4.5		20.0	0.0	
CENTRIFUGE	2	SWACO	0.0		0.0	0.0	
DESANDER	1	SWACO	0.0		0.0	0.0	
DESILTER	1	SWACO	0.0		0.0	0.0	
MUD CLEANER	1	SWACO	0.0	2 x 210	0.0	0.0	
SHALE SHAKER	1	Brandt	0.0		0.0	0.0	
SHALE SHAKER	1	Derrick Equipments Co	22.0	3 x 140	30.0	0.0	
SHALE SHAKER	2	Brandt	0.0		0.0	0.0	
SHALE SHAKER	2	Derrick Equipments Co	22.0	3 x 140	20.0	0.0	
SHALE SHAKER	3	Derrick Equipments Co	22.0	3 x 140	20.0	0.0	
SHALE SHAKER	3	Brandt	0.0		0.0	0.0	
				Total Volume Lost	90	0	

Additions bbl				Losses bbl				Total Volumes bbl			
Mud Added		Weight Materials		Downhole		Left In Pit		Starting Volume	2209.3	Riser w/o Pipe	215.7
Brine		Water	50	Cased Off		Trip Losses		Daily Additions	109.4	Casing w/o Pipe	709.3
Base Fluid	54	Product	5.4	Left In Hole		Injected		Daily Losses	106	Open Hole w/o Pipe	244.9
Recycled		Other		Discharged		Spill To Environment		Ending Volume	2212.7	String Displacement	60.5
				SCE	90	Onshore Disposal		Net Change	3.4	String Capacity	117.8
				Evaporation		Returned				Total Hole w/ Pipe	1109.4
				Other Losses	16					Total Active	1524.4
										Total Reserve	688.0

Circulate	0	Drilling Formation	22	Tripping	2		
-----------	---	--------------------	----	----------	---	--	--

Primary Currency USD		Secondary Currency		Totals USD	
Daily Product Cost	17330.00	Daily Product Cost	0.00	Primary Product	1099155.19
Daily Tax	0.00	Daily Tax	0.00	Secondary Product	0.00
Debit/Credit	0.00	Debit/Credit	0.00	Primary Engineering	44550.00
Daily Engineering Cost	900.00	Daily Engineering Cost		Secondary Engineering	0.00
Total Daily Cost	18230.00	Total Daily Cost	0.00	Primary Total	1143705.19
Total Inventory Value	389970.76	Total Inventory Value	0.00	Secondary Total	0.00
				Deck Load	367.62 UK ton

Products and Services														
Product	Units	Start	Transferred In	Received	Returned	Lost	Daily Use	Final	Unit Price	USD	Daily Cost	USD	Active Ending Concentrations lb/bbl	Reserve Ending Concentrations lb/bbl
Bulk														
BARITE - Imported	1000 kg	258						258	540.00				0.09	0.12
Oil Based Product														
CARBO-GEL	25 kg	105						105	264.28				5.59	6.53
MIL-LIME	25 kg	280					40	240	34.25		1370.00		5.15	2.11
OMNI-COTE	55 USgal	8						8	2150.00					
OMNI-MUL	55 USgal	24						24	995.06				2.63	0.96
OMNI-PLEX	55 USgal	10						10	1618.95				3.51	2.69
OMNI-TEC	55 USgal	20						20	923.00				0.94	0.05
PARA-TEQ	1 bbl	346					54	292	280.00		15120.00			
SA 58	50 lb								97.10					
Water Based Product														
CALCIUM CHLORIDE (97%)	50 lb	160					40	120	21.00		840.00		8.08	2.04
CAUSTIC SODA	25 kg	17						17	37.89				0.04	0.05
POTASSIUM CHLORIDE BRINE	1 bbl	189						189	46.85				56.33	74.01
XANTHANGUM D	25 kg	40						40	345.22				0.28	0.37
LCM														
CALCIUM CARBONATE - FINE	25 kg	200						200	21.68				0.01	0.01
CALCIUM CARBONATE - MED	25 kg	220						220	21.68				0.04	0.05
KWIKSEAL - MEDIUM	50 lb	39						39	70.52				0.03	0.04
MIL-PLUG FINE	50 lb	84						84	27.01					
MIL-SEAL MEDIUM	50 lb	90						90	36.00					
SOLUFLAKE F	50 lb	158						158	57.24					
SOLUFLAKE M	50 lb	80						80	57.24					
Other														
SAW DUST	25 kg	30						30	12.50					

Any opinion and/or recommendation, expressed orally or written herein, has been prepared carefully and may be used if the user so elects, however, no representative or warranty is made by ourselves or our agents as to the correctness or completeness, and no liability is assumed for any damages resulting from the use of same.